

# Business Insights

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## 5 CRITICAL STEPS IN THE CHANGE MANAGEMENT PROCESS



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**Kelsey Miller** | Contributors

Management, Management Essentials

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Businesses must constantly evolve and adapt to meet a variety of challenges—from changes in technology, to the rise of new competitors, to a shift in laws, regulations, or underlying economic trends. Failure to do so could lead to stagnation or, worse, failure.

Approximately 50 percent of all organizational change initiatives are unsuccessful, highlighting why knowing how to plan for, coordinate, and carry out change is a valuable skill for managers and business leaders alike.

Have you been tasked with managing a significant change initiative for your organization? Would you like to demonstrate that you're capable of spearheading such an initiative the next time one arises? Here's an overview of what change management is, the key steps in the process, and actions you can take to develop your managerial skills and become more effective in your role.

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### WHAT IS CHANGE MANAGEMENT?

Organizational change refers broadly to the actions a business takes to change or adjust a significant component of its organization. This may include company culture, internal processes, underlying technology or infrastructure, corporate hierarchy, or another critical aspect.

Organizational change can be either adaptive or transformational:

- **Adaptive changes** are small, gradual, iterative changes that an organization undertakes to evolve its products, processes, workflows, and strategies over time. Hiring a new team member to address

increased demand or implementing a new work-from-home policy to attract more qualified job

applicants are both examples of adaptive changes.

- **Transformational changes** are larger in scale and scope and often signify a dramatic and, occasionally sudden, departure from the status quo. Launching a new product or business division, or deciding to expand internationally, are examples of transformational change.

## 2 Types of Organizational Change

### Adaptive Changes

Adaptive changes are small, incremental changes organizations adopt to address needs that evolve over time.

### Transformational Changes

Larger in scale and scope than adaptive changes, transformational changes involve major shifts in mission, strategy, structure, performance, and processes.



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Change management is the process of guiding organizational change to fruition, from the earliest stages of conception and preparation, through implementation and, finally, to resolution.

As a leader, it's essential to understand the change management process to ensure your entire organization can navigate transitions smoothly. Doing so can determine the potential impact of any organizational changes and prepare your teams accordingly. When your team is prepared, you can ensure everyone is on the same page, create a safe environment, and engage the entire team toward a common goal.

Change processes have a set of starting conditions (point A) and a functional endpoint (point B). The process in between is dynamic and unfolds in stages. Here's a summary of the key steps in the change management process.

***Check out our video on the change management process below, and subscribe to our [YouTube channel](#) for more explainer content!***

# 5 STEPS IN THE CHANGE MANAGEMENT PROCESS

## 1. Prepare the Organization for Change

For an organization to successfully pursue and implement change, it must be prepared both logistically and culturally. Before delving into logistics, cultural preparation must first take place to achieve the best business outcome.

In the preparation phase, the manager is focused on helping employees recognize and understand the need for change. They raise awareness of the various challenges or problems facing the organization that are acting as forces of change and generating dissatisfaction with the status quo. Gaining this initial buy-in from employees who will help implement the change can remove friction and resistance later on.

## 2. Craft a Vision and Plan for Change

Once the organization is ready to embrace change, managers must develop a thorough, realistic, and strategic plan for bringing it about.

### 4 Elements of Effective Plans for Change



#### STRATEGIC GOALS

What goals does this change help the organization work toward?



#### KEY PERFORMANCE INDICATORS

How will success be measured? What metrics need to be moved?  
What's the baseline for how things currently stand?



#### PROJECT STAKEHOLDERS AND TEAM

Who will oversee the task of implementing change? Who needs to sign off at each critical stage? Who will be responsible for implementation?



#### PROJECT SCOPE

What discrete steps and actions will the project include? What falls outside of the project scope?



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The plan should detail:

- **Strategic goals:** What goals does this change help the organization work toward?
- **Key performance indicators:** How will success be measured? What metrics need to be moved? What's the baseline for how things currently stand?
- **Project stakeholders and team:** Who will oversee the task of implementing change? Who needs to sign off at each critical stage? Who will be responsible for implementation?
- **Project scope:** What discrete steps and actions will the project include? What falls outside of the project scope?

While it's important to have a structured approach, the plan should also account for any unknowns or roadblocks that could arise during the implementation process and would require agility and flexibility to overcome.



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### 3. Implement the Changes

After the plan has been created, all that remains is to follow the steps outlined within it to implement the required change. Whether that involves changes to the company's structure, strategy, systems, processes, employee behaviors, or other aspects will depend on the specifics of the initiative.

During the implementation process, change managers must be focused on empowering their employees to take the necessary steps to achieve the goals of the initiative and celebrate any short-term wins. They should also do their best to anticipate roadblocks and prevent, remove, or mitigate them once identified. Repeated communication of the organization's vision is critical throughout the implementation process to remind team members why change is being pursued.

### 4. Embed Changes Within Company Culture and Practices

Once the change initiative has been completed, change managers must prevent a reversion to the prior state or status quo. This is particularly important for organizational change related to business processes such as workflows, culture, and strategy formulation. Without an adequate plan, employees may backslide into the "old way" of doing things, particularly during the transitory period.

By embedding changes within the company's culture and practices, it becomes more difficult for backsliding to occur. New organizational structures, controls, and reward systems should all be considered as tools to help change stick.

### 5. Review Progress and Analyze Results

Just because a change initiative is complete doesn't mean it was successful. Conducting analysis and review, or a "project post mortem," can help business leaders understand whether a change initiative was a success, failure, or mixed result. It can also offer valuable insights and lessons that can be leveraged in future change efforts.

Ask yourself questions like: *Were project goals met? If yes, can this success be replicated elsewhere? If not, what went wrong?*

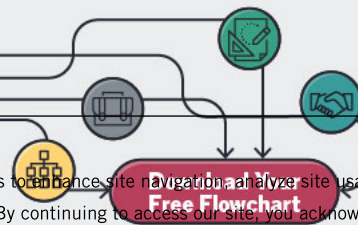
## THE KEY TO SUCCESSFUL CHANGE FOR MANAGERS

While no two change initiatives are the same, they typically follow a similar process. To effectively manage change, managers and business leaders must thoroughly understand the steps involved.

Some other [tips for managing organizational change](#) include asking yourself questions like:

- Do you understand the forces making change necessary? Without this understanding, it can be difficult to effectively address the underlying causes that have necessitated change, hampering your ability to succeed.
- Do you have a plan? Without a detailed plan and defined strategy, it can be difficult to usher a change initiative through to completion.
- How will you communicate? Successful change management requires effective communication with both your team members and key stakeholders. Designing a communication strategy that acknowledges this reality is critical.
- Have you identified potential roadblocks? While it's impossible to predict everything that might potentially go wrong with a project, taking the time to anticipate potential barriers and devise mitigation strategies before you get started is generally a good idea.

## Which HBS Online Leadership & Management Course Is Right for You?



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## HOW TO LEAD CHANGE MANAGEMENT SUCCESSFULLY

If you've been asked to lead a change initiative within your organization, or you'd like to position yourself to oversee such projects in the future, it's critical to begin laying the groundwork for success by developing the skills that can equip you to do the job.

Completing an [online management](#) or [leadership course](#) can be an effective way of developing those skills and inspire several [other benefits](#). When evaluating your options for training, seek a program that aligns with your personal and professional goals; for example, one that emphasizes organizational change.

***Do you want to become a more effective leader and manager? Explore [Management Essentials](#), [Leadership Principles](#), [Organizational Leadership](#), and [Leading Change and Organizational Renewal](#)—four of our online [leadership and management courses](#)—to learn how you can take charge of your professional development and accelerate your career. Not sure which course is the right fit? Download our [free flowchart](#).***

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### About the Author

*Kelsey Miller is a marketing specialist and contributing writer for Harvard Business School Online.*